

WeBox CEO's Letter of Q1, 2025

To our valued shareholders and WeBox team,

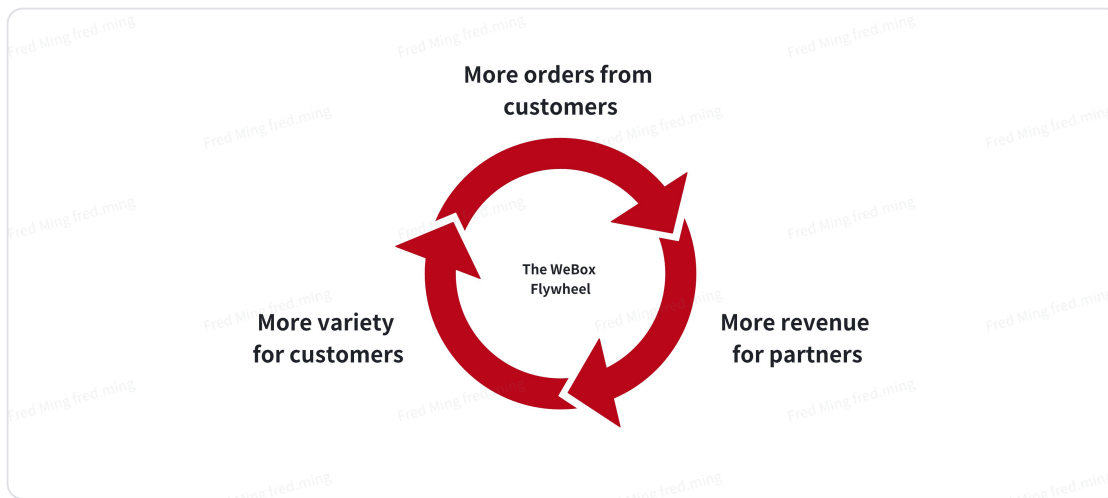
We achieved a significant milestone in 2024, marking a crucial turning point for the company. At the start of the year, we were facing a dire situation with only six months of runway left, as revealed in our January financial review. We encountered numerous challenges, including issues with our field sales GTM strategy, an understaffed sales team, difficulties in signing new partners, operational instability, delays with the Fremont kitchen, and GC-related issues. It felt as though every aspect of the business was under strain. At times, I thought we might have to shut down if we couldn't identify a new path to sustain growth.

Following the board meeting, I made the difficult decision to terminate most of the heads of departments and took on the responsibility of leading each department myself. Although Q1 growth was modest, we successfully brought company-wide costs under control. I also took direct leadership of the sales, marketplace and operation team and refocused the company entirely on Santa Clara. With limited resources, our strategy was to concentrate on one hub, achieve small wins, and rebuild team confidence before scaling.

Here are some key steps we took:

1. We rehired a salesperson who demonstrated exceptional confidence in presentations, even though field prospecting wasn't his strength.
2. We secured two major customers—Exact Sciences and Arista Networks—proving we could compete with larger players to win big accounts.
3. By expanding our daily options to 500, we successfully onboarded two customers from our main competitor, Forkable.
4. With these wins, the flywheel effect began to take hold in Santa Clara, driving momentum and growth.

This focused approach laid the foundation for the progress we've made and set the stage for future success.



Growth is very important to our companies. As Eric Yuan once said:

Another subtle but important thing is when you continue growing your business, many issues are hidden and not problems; but when you experience headwind, all these issues will suddenly appear and become serious.

Thank you for your continued support throughout this journey. I hope you find these updates helpful. As always, feel free to reach out at any time for a conversation.

Fred Ming

CEO, Saltalk Inc (DBA: WeBox)

Executive Summary

- **Revenue**

Q4 Total Revenue: WeBox consolidated revenue achieved total revenue of \$3.92M [Forecast: \$3.63M]. This marks a 13.29% [Forecast: 5%] QoQ growth from \$3.46M in Q3 2024, and represent a 100% YoY increase from \$1.95M in Q4 2023

2024 Total Revenue: Total consolidated revenue reached \$12.47M, reflecting a 60% increase compared to \$7.83M in 2023

- **Gross Margin**

Q4 Gross Margin: The gross margin stands at 28.45% [Forecast: 29.44%]. This represents a 1.4% [Forecast: 5%] QoQ decrease from 28.86% in Q3 2024.

2024 Gross Margin: The gross margin is 29%, showing a 34.8% YoY growth compared to 21.5% in 2023

- **Net Profit**

Q4 Net Profit: The net profit was -\$338K [Forecast: -\$80K]. This included the hiring of 21 new team members: 5 in the US, 6 in China and 10 in the Philippines

2024 Net Profit: Net profit is total -\$740K, reflecting a 63.5% YoY decrease compared to \$2.03M in 2023

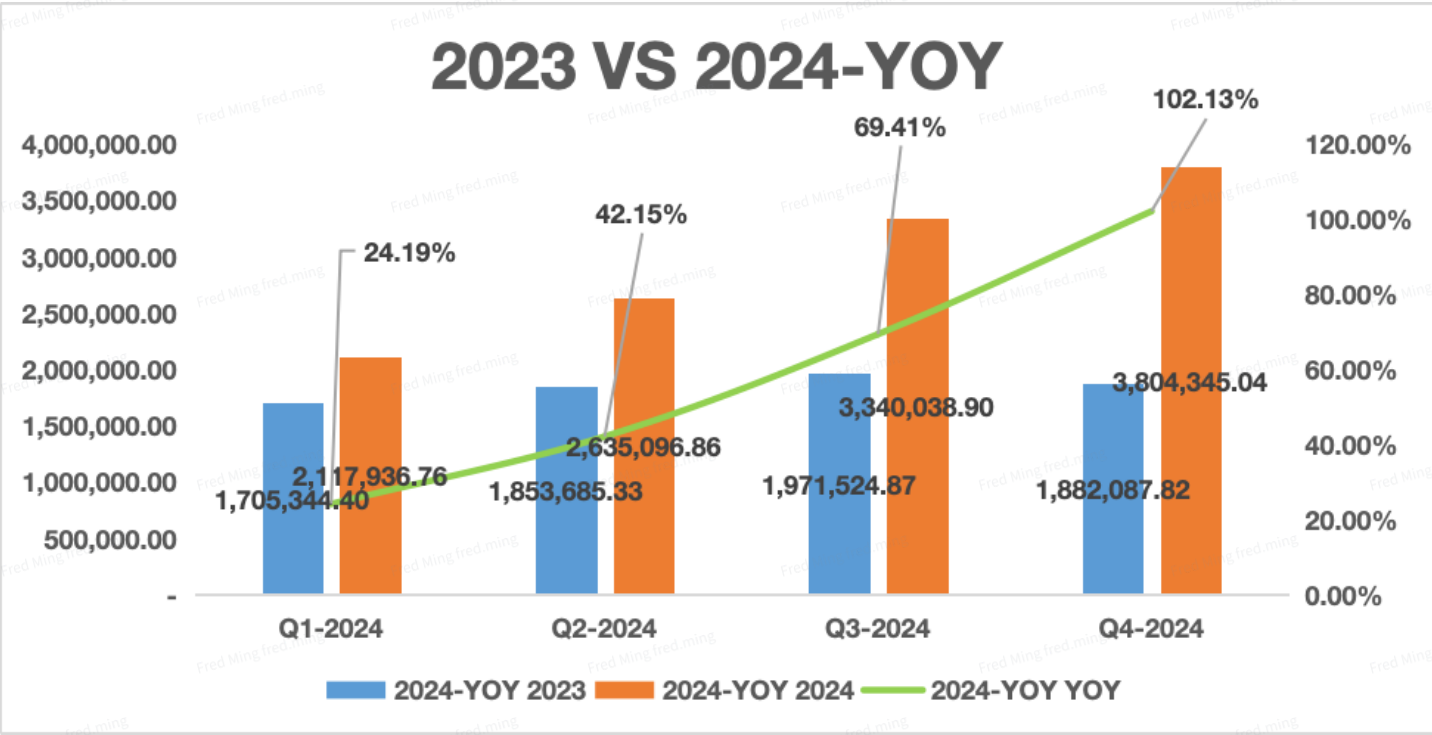
- Fundraising

We got a \$3M loan from bridge bank based on AR transactions

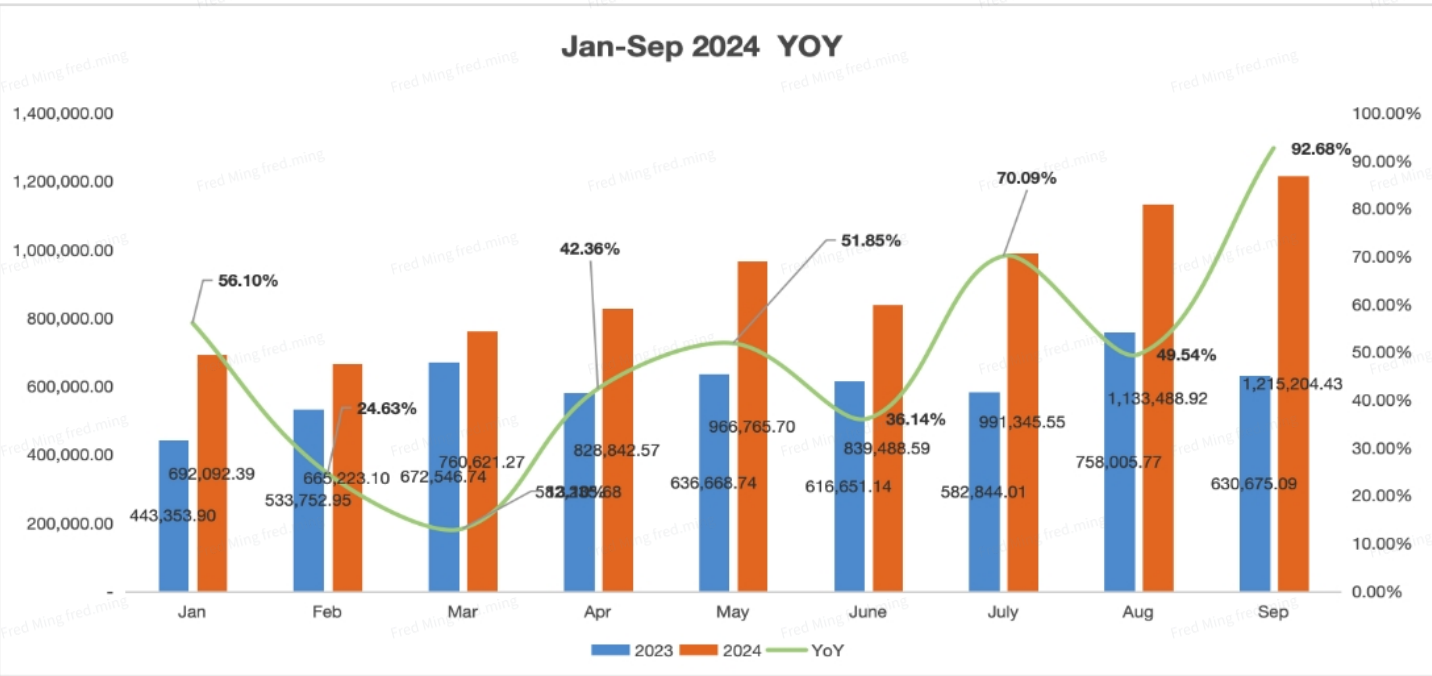
Financial Overview

Q4's Updates

- WeBox Quarterly revenue YoY



- WeBox Monthly revenue YoY



- Daily revenue MoM

Date	Work Day	Revenue/ average day	Growth rate
Jan	22	31,458.75	
Feb	20	33,261.16	5.73%
Mar	21	36,220.06	8.90%
Apr	22	37,635.50	3.91%
May	22	43,926.57	16.72%
Jun	19	44,183.61	0.59%
Jul	22	45,061.16	1.99%
Aug	22	51,522.22	14.34%
Sep	20	60,760.22	17.93%
Oct	23	65,594.76	7.96%
Nov	19	58,618.74	-10.64%
Dec	16	60,019.95	2.39%

Q1's Goals

- Revenue

\$4.78MM (22% QoQ Growth)

- Gross Margin

28.65% (1% QoQ Growth)

- Net Profit

Loss: \$80K (We are expanding)

2025 Goals

- Revenue

- The total yearly revenue forecast is \$25M+
- The max monthly revenue forecast is \$2.5M+

Functional Review

Marketplace

- **WeBox Mart Revenue**

WeBox Mart's quarterly revenue has surpassed \$203K, making a 7.5% QoQ growth from \$189k in Q3 of 2024

- **Big Brands**

Subway, Pollo Loco, Asian Box, Poke House, Vitality Bowls



Product & Engineering

- **WeBox Plans & Pricing**

9 active customers: 2 Basic and 7 Pro

- **Allowance Rollover**

2 customers enable this feature in 2 weeks

Basic

Free

Ideal for individuals and families

10% Service Fee

Sign Up

Contractless

Up to 4 orders per delivery

Free delivery over \$49.99

No tips

15 daily brands

Box meal

Group catering

Pro

\$ 29.99 / month

First 30 days free trial

Perfect for small teams or businesses

12% Service Fee

Buy Now

Everything in Basic, plus

Up to 19 orders per delivery

Free delivery over \$99.99

Full brands

Office pantry

Automatic ordering

Guest ordering link

Integration with Slack, PingID, Okta, and Rippling

Business

Flexible Pricing

Designed for large teams or companies

Talk to Sales

Everything in Pro, plus

Unlimited orders per delivery

Free delivery over \$199.99

Flexible delivery time window

Multiple office locations

WeBox rack system

Last minute orders

Onboard training

Dedicated account manager

Consolidated payment options (Weekly, Bi-Weekly, or Monthly)

9:41

3280 Victor St

Lunch

MON 29

TUE 30

WED 1

THU 2

FRI 3

SAT 4

SUN 5

MO 6

To Do

Completed

Pick Up

You have three pick-up locations scheduled for today.

Set Up Utensils

Take a look at the companies' utensil requirement and place the utensil for them correctly

Place Items

Please scan the barcodes on the items and place the scanned items into the correct box.

Drop Off

You have three drop-off locations scheduled for today.

Arrange Temperature Packs

You have three drop-off locations scheduled for today.

Check In

Tasks

Analytics

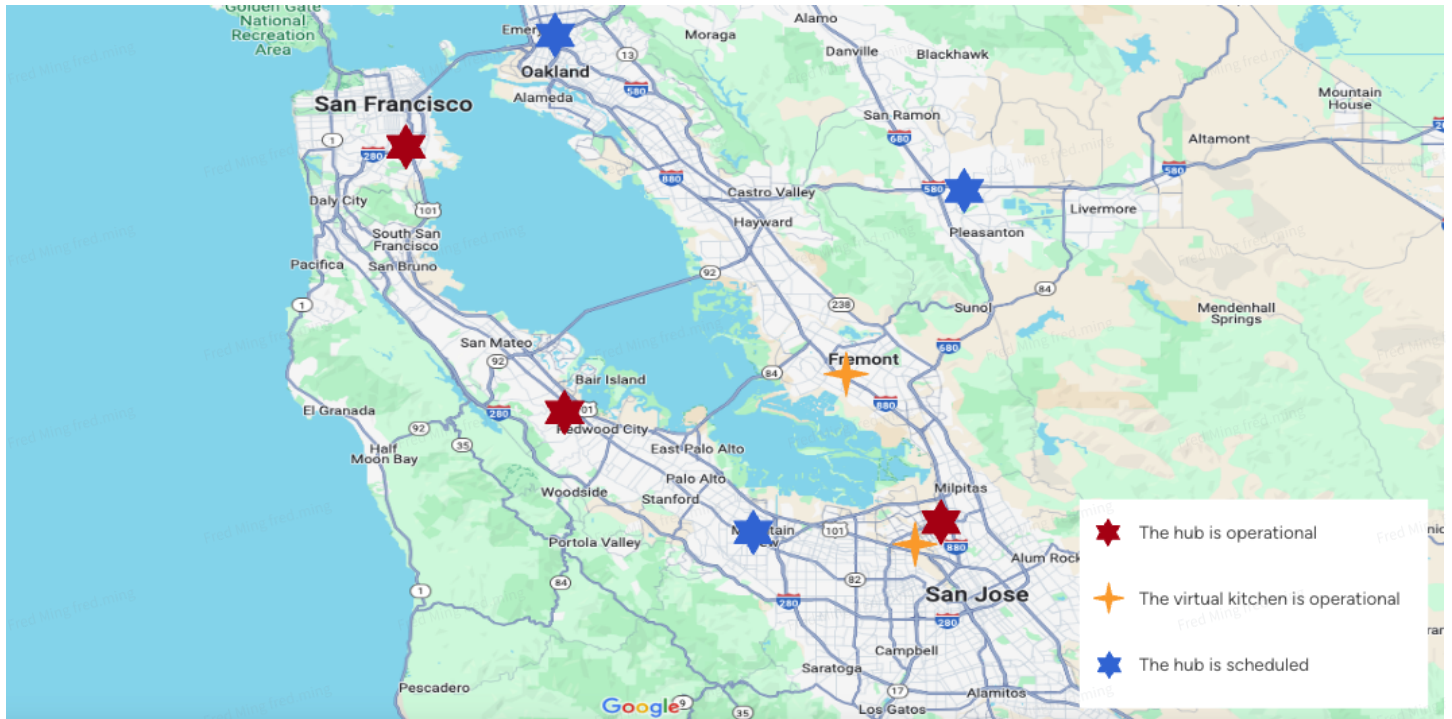
Chat

My

Operations

- Secured new locations in Santa Clara and Belmont, featuring 10,000 sq. ft. and 50 parking spaces.

- Currently negotiating a new location in Mountain View.
- Fremont Kitchen is on track for its February opening.



Marketing & Brands

- Hired 2 employees to set up a marketing department
 - Focus on field marketing and sponsorship at the first stage
- Day One Conference Sponsorship
 - Sponsor 2 events this year in San Francisco and San Jose

Team

- 71 (United States - SF Bay Area: 26, China - Shanghai and Wuhan: 19; Philippines: 26)
Headcount has increased by 26.8%, rising from 56 employees in Q3.

Fundraising

- Start series B in Q3
 - Expand with 8 additional hubs and enter new markets, including Los Angeles etc.